

WORLD TRADE ORGANIZATION

RESTRICTED

G/SCM/W/512

29 May 2002

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**Committee on Subsidies
and Countervailing Measures**

Original: English

IMPLEMENTATION RELATED ISSUES REFERRED TO THE COMMITTEE BY MINISTERS

Follow-Up Questions from the UNITED STATES to BRAZIL and INDIA on Tired 80 Proposals (G/SCM/W/464, G/SCM/W/465)

The following communication, dated 28 May 2002, has been received from the Permanent Mission of the United States.

FACTS AVAILABLE – INDIA

Clarify that all verifiable and timely submitted information should be taken into account and that if a portion of information is not verifiable or timely submitted, facts available may be used for that portion of the information

The Agreement on Subsidies and Countervailing Measures does not include language supporting India's proposal, and India's proposal – to the extent that it is intended to mirror the language of Annex II of the Anti-dumping Agreement – does not contain a provision that verified information should be taken into account only when it can be used "without undue difficulties." We remain concerned that if India's proposal were adopted, the selective provision of information by the exporter under investigation could result in a calculated rate of subsidization lower than the actual rate.

Moreover, the mandated use of a limited amount of company information will not necessarily result in a more accurate subsidy calculation. If, as is often the case in a subsidy calculation, one number (i.e. the subsidy amount) must be divided by another (i.e. the sales amount), if only one number is "verified," its use does not necessarily lead to a more accurate calculation. This is true for two reasons. First, the accuracy of the subsidy calculation will be entirely contingent upon the selection of the value to be used for the second number, which is unknown. Second, other completely different information, such as the subsidization rate found for the same programme in another investigation or review, may provide a more reasonable basis to approximate the actual rate of subsidization.

REVIEW PROCEDURES – BRAZIL

Introduce detail in Article 19.3 concerning expedited review of new exporters

It is our understanding that Article 19.3 covers exporters who had exports during the period of investigation, but whom were not actually investigated. (This is in contrast to "new shippers" – exporters who did not export during the period of investigation, but did export after the period of

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investigation.) Under US regulations, exporters not covered by the original investigation may request an expedited review. For such reviews, US regulations provide that, under certain conditions, information from the original period of investigation may be used.

Is Brazil's proposal with respect to exporters that exported during the period of investigation, but were not covered by the original investigation, or does Brazil's proposal cover exporters that did not export during the period of investigation?

REVIEW PROCEDURES – INDIA

Clarify Article 21.2 to provide for automatic adjustment of countervailing duties for schemes withdrawn

It is our understanding that this proposal would only apply to verified programmes that were subsequently terminated and would not apply to verified programmes for which the subsidy level was increased. Therefore, any adjustment under this proposal would only result in the downward adjustment of a countervailing duty and would never result in the upward adjustment of a countervailing duty. It would be helpful if an explanation could be provided as to why the adjustment under this proposal should necessarily only work to lower a countervailing duty.
